

Week 3: Weighted Average Cost of Capital

$$WACC = E/V * Re + D/V * Rd * (1 - Tc)$$

Re is the cost of equity estimated with CAPM. Rd is the pre-tax cost of debt.

Practice

Given a beta of 1.2, risk-free rate 1.5%, and equity risk premium 5.5%, compute Re.

コーポレート・ファイナンス 第3回 資本コスト